

The Business Opportunity <i>Where is the gap in the market, and how do you intend to fill it?</i> The Problem • Same fixed compliance cost on a \$10K trade as a \$5M trade • SME ticket sizes uneconomic for banks at scale • \$2.5T global trade finance gap (ADB, 2025); 41% of SME applications rejected • Rejected SMEs fall back on trust, prepayment, or drop the trade Our Solution • UCP 600-inspired documentary release, stablecoin settlement, no issuing bank • Buyer escrow → seller documents → release on compliant presentation • Four verification layers plus an invoked escalation route • Blockmediary addresses the documentary trust and payment-assurance gap, not working-capital finance	Business Description <i>Brief outline of your business model</i> • Documentary escrow operator: verification, release rules, settlement • Smart-contract escrow holds stablecoins against documentary release rules • UCP 600-inspired Article 14 release logic — a Trade Escrow Agreement, not an LC • Settlement on stablecoin rails (USDC), not bank correspondent networks • Not a bank: no deposits, no lending, no token issuance • Not DeFi: centralised trust and compliance layer by design • Pilot planned through a suitably DFSA-authorised partner, subject to confirmed permissions and executed agreements • First paid deal targeted Month 12; full VARA licence Month 18 — the gate for UAE-wide scale	Target Market Sector & geography • SME importers/exporters; UAE launch market • Corridor: UAE–India (CEPA); more added per pilot envelope • Sectors: manufacturing, consumer goods, electronics, textiles • Ticket: the \$10K–\$50K "LC dead zone"; average deal £31K → £48K by Y5 Strategic goals • Payment without LC cost or bank issuance delay • Counterparty access without bank gatekeeping • Verified trade reputation that travels across deals Pain points & risks • LC pricing and access barrier at SME tickets • Pre-shipment payment-trust gap • Document fraud and discrepancy risk • Corridor FX and regulatory friction	USPs <i>How does your product/service compare? What makes you unique?</i> • UCP 600-inspired documentary release on stablecoin rails • Four-layer verification: screening → extraction → source corroboration → contracted examiner • Customer-selected verification tiers — speed traded against cost of trust • Two-track UAE route: DIFC partner pilot, then own VARA licence for scale • Modelled to undercut traditional LC fees on Tier A and selected Tier B transactions • Compliance-first by design: not a bank, not DeFi
Revenue Streams • A. Tiered escrow fee: 0.8% / 1.5% / 3.0% by verification tier • B. Dispute, expedited and onboarding fees • C. Partner/API setup and committed-volume fees Projected revenue — base case • Year 3: £1.37m revenue on 2,000 deals and £76m GMV • Blended take rate falls 2.0% → 1.0% as Tier A grows 15% → 70% • Gross margin 71–79%; ancillary fees 25% of Y3 revenue, 17% by Y5 • Monthly cash-flow break-even in Year 4, Month 8	Costs Funding requirement • £3.06m operating funding to break-even; £319k VARA capital separate Fixed • Payroll — 8 FTE at launch to 24 by Year 5; dominant cost • Compliance, MLRO, VARA supervision and operational resilience • Engineering, cloud, monitoring and security tooling • Insurance (PI, cyber, D&O) and legal retainer Variable (per deal) • eBL/carrier API lookup, or paper collection • Contracted documentary examiner time • KYB/KYC screening per new counterparty • On-chain gas and settlement cost • Dispute handling and enhanced review above £50K	Channels <i>How will you promote your product or service?</i> Direct • Dubai and Sharjah chambers of commerce • Freight forwarder referrals • DIFC FinTech Hive; Gulfood, GITEX, Dubai FinTech Summit Indirect • Regulated-partner distribution — the base case's primary scale route • Fintech wallet integrations (white-label verification API) • Logistics platform API partnerships	Competition <i>Who are your competitors and what are their USPs?</i> • Bank-issued LCs — trust and networks; 1–3% commission before the fee stack • Tazapay — escrow-as-a-service; manual review, custodial fiat rails • Truoz — narrow UK–South Africa corridor; escrow wallet, no document layer • XREX — licensed custodial escrow; releases on agreement, not documents • Komgo / Contour — bank-consortium LC digitisation; Contour shut in 2023

Sources: ADB (2025); ICC UCP 600 (2007); VARA Rulebook (2026); Blockmediary financial model and legal & compliance risk register, 13 Aug 2026. UCP 600-inspired release logic; not a letter of credit. Pilot planned through a suitably DFSA-authorised partner, subject to confirmed permissions and executed agreements. Blockmediary provides documentary escrow and payment assurance, not working-capital finance. Figures are base case. GMV is trade value processed, not revenue.